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E3
Chargeable gains for companies

Lecture example 1- Solution

	£
Disposal proceeds	420,000
Cost	(164,000)
Enhancement expenditure	(37,000)
	219,000
Indexation allowance 164,000×0.808	(132,512)
	86,488

Note: There is no indexation allowance for the enhancement expenditure of £37,000 because this was incurred after December 2017.

Lecture example 2- Solution

	£
Disposal proceeds	70,000
Less: cost	(50,000)
Unindexed gain	20,000
Less: indexation allowance 50,000×0.448, so restricted to	(20,000)
	0

Lecture example 3 - Solution

	£
Proceeds	17,000
Cost (match with acquisition in previous 9 days)	(4,600)
Share pool indexed cost (w)	(7,934)
Indexed gain	4,466

Lecture example 3 - Solution

Working	No. £	Cost £	Indexed cost £
Aug 1998	1,000	2,750	2,750
Index to Dec 2001 0.059×2,750			162
			2,912
Addition on Dec 2001	1,000	3,250	3,250
	2,000	6,000	6,162
Index to Dec 2017 0.604×6,162			3,722
			9,884
Addition on May 2019	1,500	4,000	4,000
	3,500	10,000	13,884
Disposal	(2,000)	(5,714)	(7,934)
	1,500	4,286	5,950

Lecture example 4 - Solution

September 2017: Sale of original factory	**£**
Proceeds	1,250,000
Less: Cost (October 2007)	(700,000)
	550,000
Less: IA (October 2007-September 2017) 0.343 × £700,000	(240,100)
	309,900
Less: Rollover relief	(309,900)
Taxed now (£1,250,000-£1,400,000)	0

Lecture example 4 - Solution

October 2025: Sale of replacement factory		
	£	£
Proceeds		1,500,000
Cost (July 2017)	1,400,000	
Less: Rolled over gain	(309,900)	
		(1,090,100)
		409,900
Less: IA (July 2017–December 2017) 0.019 × £1,090,100		(20,712)
Chargeable gain		389,188

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谢谢观看

THANK FOR WATCHING